

# Appendix: Anatomy of the “No-Cost” Insurance Trap

|      |            | Policy Details         |                  |                     | Bank Loan Detail |                         |              | Investment Detail |                                |                                          |                    |                            | IFA                        |                            |                                              | ABI vs IFA                     |                            |
|------|------------|------------------------|------------------|---------------------|------------------|-------------------------|--------------|-------------------|--------------------------------|------------------------------------------|--------------------|----------------------------|----------------------------|----------------------------|----------------------------------------------|--------------------------------|----------------------------|
| Year | Year / Age | Annual Premium/Deposit | Total Cash Value | Total Death Benefit | Loan Advances    | Annual Interest Payable | Loan Balance | Bank Loan Rate    | Loan Interest Tax Recovery     | NCPI Tax Recovery                        | Net Interest Cost  | Net Annual Cost            | Death Proceeds Net of Loan | Estate Value of Unused CDA | Net Available to Estate (incl CDA)           | Potential Collateral Shortfall | IFA Additional Net Benefit |
| [A]  | [B]        | [C]                    | [D]              | [E]                 | [F]              | [G]<br>Interest on [H]  | [H]          | [I]               | [J]<br>Annual Interest *26.50% | [K]<br>NCPI * (Loan Balance / DB)*26.50% | [L]<br>[G]-[J]-[K] | [M]<br>[C]-[F]+[G]-[J]-[K] | [N]<br>[E]-[H]             | [O]<br>39.34% *Unused CDA  | [P]<br>39.34% *Unused CDA + after-tax net DB | [Q]<br>[H]-100%*[D]            | [R]<br>IFA                 |
| 1    | 1   30     | 200,000                | 123,156          | 4,748,556           | 200,000          | 10,500                  | 207,694      | 5.25%             | 2,783                          | 23                                       | 7,694              | (0)                        | 4,540,861                  | 3,812                      | 4,544,673                                    | 84,539                         | 4,423,353                  |
| 2    | 2   31     | 200,000                | 297,002          | 5,205,428           | 200,000          | 21,404                  | 423,371      | 5.25%             | 5,672                          | 56                                       | 15,676             | (0)                        | 4,782,057                  | 10,996                     | 4,793,053                                    | 126,369                        | 4,550,413                  |
| 3    | 3   32     | 200,000                | 468,974          | 5,709,626           | 200,000          | 32,727                  | 647,331      | 5.25%             | 8,673                          | 94                                       | 23,960             | (0)                        | 5,062,295                  | 21,653                     | 5,083,947                                    | 178,357                        | 4,719,987                  |
| 4    | 4   33     | 200,000                | 671,119          | 6,261,782           | 200,000          | 44,485                  | 879,886      | 5.25%             | 11,788                         | 141                                      | 32,555             | (0)                        | 5,381,896                  | 35,954                     | 5,417,849                                    | 208,767                        | 4,932,569                  |
| 5    | 5   34     | 200,000                | 888,804          | 6,844,229           | 200,000          | 56,694                  | 1,121,362    | 5.25%             | 15,024                         | 194                                      | 41,476             | 0                          | 5,722,867                  | 54,031                     | 5,776,898                                    | 232,558                        | 5,170,298                  |
| 6    | 6   35     | 200,000                | 1,124,493        | 7,464,364           | 200,000          | 69,371                  | 1,372,102    | 5.25%             | 18,383                         | 248                                      | 50,740             | 0                          | 6,092,262                  | 75,996                     | 6,168,258                                    | 247,608                        | 5,440,338                  |
| 7    | 7   36     | 200,000                | 1,379,560        | 8,123,077           | 200,000          | 82,535                  | 1,632,461    | 5.25%             | 21,872                         | 304                                      | 60,360             | (0)                        | 6,490,616                  | 101,984                    | 6,592,600                                    | 252,902                        | 5,743,360                  |
| 8    | 8   37     | 200,000                | 1,654,025        | 8,814,547           | 200,000          | 96,204                  | 1,902,812    | 5.25%             | 25,494                         | 359                                      | 70,351             | 0                          | 6,911,735                  | 132,131                    | 7,043,866                                    | 248,788                        | 6,073,306                  |
| 9    | 9   38     | 200,000                | 1,944,848        | 9,519,295           | 200,000          | 110,398                 | 2,183,541    | 5.25%             | 29,255                         | 414                                      | 80,728             | 0                          | 7,335,755                  | 166,567                    | 7,502,322                                    | 238,692                        | 6,410,442                  |
| 10   | 10   39    | 200,000                | 2,252,876        | 10,237,504          | 200,000          | 125,136                 | 2,475,030    | 5.25%             | 33,161                         | 486                                      | 91,489             | (0)                        | 7,762,475                  | 205,544                    | 7,968,018                                    | 222,154                        | 6,754,818                  |
| 11   | 11   40    | 200,000                | 2,579,037        | 10,969,380          | 200,000          | 140,439                 | 2,777,683    | 5.25%             | 37,216                         | 570                                      | 102,653            | 0                          | 8,191,698                  | 249,266                    | 8,440,964                                    | 198,646                        | 7,106,444                  |
| 12   | 12   41    | 200,000                | 2,924,316        | 11,715,134          | 200,000          | 156,328                 | 3,091,912    | 5.25%             | 41,427                         | 672                                      | 114,229            | (0)                        | 8,623,222                  | 297,985                    | 8,921,207                                    | 167,596                        | 7,465,367                  |
| 13   | 13   42    | 200,000                | 3,289,639        | 12,474,998          | 200,000          | 172,825                 | 3,418,134    | 5.25%             | 45,799                         | 804                                      | 126,223            | (0)                        | 9,056,864                  | 351,998                    | 9,408,861                                    | 128,495                        | 7,831,701                  |
| 14   | 14   43    | 200,000                | 3,604,665        | 13,245,558          | 200,000          | 189,952                 | 3,756,779    | 5.25%             | 50,337                         | 970                                      | 138,645            | (0)                        | 9,488,579                  | 411,617                    | 9,900,197                                    | 152,115                        | 8,201,717                  |
| 15   | 15   44    | 200,000                | 3,927,264        | 14,021,552          | 200,000          | 207,731                 | 4,108,302    | 5.25%             | 55,049                         | 1,159                                    | 151,523            | 0                          | 9,913,250                  | 477,099                    | 10,390,349                                   | 181,038                        | 8,570,549                  |
| 16   | 16   45    | 200,000                | 4,267,854        | 14,803,328          | 200,000          | 226,186                 | 4,473,168    | 5.25%             | 59,939                         | 1,381                                    | 164,866            | (0)                        | 10,330,160                 | 548,742                    | 10,878,902                                   | 205,314                        | 8,937,782                  |
| 17   | 17   46    | 200,000                | 4,627,382        | 15,591,070          | 200,000          | 245,341                 | 4,851,899    | 5.25%             | 65,015                         | 1,595                                    | 178,731            | 0                          | 10,739,171                 | 626,662                    | 11,365,833                                   | 224,572                        | 9,303,393                  |
| 18   | 18   47    | 200,000                | 5,006,875        | 16,385,145          | 200,000          | 265,225                 | 5,244,997    | 5.25%             | 70,285                         | 1,842                                    | 193,098            | 0                          | 11,140,147                 | 711,168                    | 11,851,316                                   | 238,122                        | 9,667,556                  |
| 19   | 19   48    | 200,000                | 5,409,508        | 17,192,700          | 200,000          | 285,862                 | 5,652,980    | 5.25%             | 75,754                         | 2,126                                    | 207,983            | (0)                        | 11,539,719                 | 802,587                    | 12,342,306                                   | 243,473                        | 10,037,226                 |
| 20   | 20   49    | 200,000                | 5,836,603        | 18,014,268          | 200,000          | 307,281                 | 6,076,394    | 5.25%             | 81,430                         | 2,439                                    | 223,413            | (0)                        | 11,937,874                 | 901,211                    | 12,839,085                                   | 239,790                        | 10,412,685                 |
| 21   | 21   50    | 0                      | 6,226,117        | 18,653,176          | 0                | 319,011                 | 6,510,866    | 5.25%             | 84,538                         | 0                                        | 234,473            | 0                          | 12,342,310                 | 1,005,368                  | 13,347,678                                   | 84,750                         | 10,921,278                 |
| 22   | 22   51    | 0                      | 6,639,260        | 19,308,206          | 0                | 331,320                 | 6,554,387    | 5.25%             | 87,800                         | 0                                        | 243,521            | 0                          | 12,753,819                 | 1,114,443                  | 13,868,262                                   | 0                              | 11,441,862                 |
| 23   | 23   52    | 0                      | 7,077,425        | 19,979,721          | 0                | 344,105                 | 6,807,304    | 5.25%             | 91,188                         | 0                                        | 252,917            | 0                          | 13,172,417                 | 1,228,747                  | 14,401,164                                   | 0                              | 11,974,764                 |
| 24   | 24   53    | 0                      | 7,541,893        | 20,668,104          | 0                | 357,383                 | 7,069,981    | 5.25%             | 94,707                         | 0                                        | 262,677            | 0                          | 13,598,123                 | 1,348,602                  | 14,946,725                                   | 0                              | 12,520,325                 |
| 25   | 25   54    | 0                      | 8,034,017        | 21,373,747          | 0                | 371,174                 | 7,342,794    | 5.25%             | 98,361                         | 0                                        | 272,813            | 0                          | 14,030,953                 | 1,474,333                  | 15,505,286                                   | 0                              | 13,078,886                 |
| 26   | 26   55    | 0                      | 8,555,225        | 22,097,051          | 0                | 385,497                 | 7,626,134    | 5.25%             | 102,157                        | 0                                        | 283,340            | 0                          | 14,470,917                 | 1,606,276                  | 16,077,193                                   | 0                              | 13,650,793                 |
| 27   | 27   56    | 0                      | 9,106,850        | 22,838,432          | 0                | 400,372                 | 7,920,408    | 5.25%             | 106,099                        | 0                                        | 294,273            | 0                          | 14,918,024                 | 1,744,924                  | 16,662,948                                   | 0                              | 14,236,548                 |
| 28   | 28   57    | 0                      | 9,690,232        | 23,598,317          | 0                | 415,821                 | 8,226,036    | 5.25%             | 110,193                        | 0                                        | 305,629            | 0                          | 15,372,280                 | 1,890,675                  | 17,262,955                                   | 0                              | 14,836,555                 |
| 29   | 29   58    | 0                      | 10,306,528       | 24,377,155          | 0                | 431,867                 | 8,543,459    | 5.25%             | 114,445                        | 0                                        | 317,422            | 0                          | 15,833,696                 | 2,043,984                  | 17,877,681                                   | 0                              | 15,451,281                 |
| 30   | 30   59    | 0                      | 10,957,015       | 25,175,399          | 0                | 448,532                 | 8,873,129    | 5.25%             | 118,861                        | 0                                        | 329,671            | 0                          | 16,302,270                 | 2,205,416                  | 18,507,686                                   | 0                              | 16,081,286                 |
| 31   | 31   60    | 0                      | 11,642,904       | 25,993,514          | 0                | 465,839                 | 9,215,521    | 5.25%             | 123,447                        | 0                                        | 342,392            | 0                          | 16,777,993                 | 2,375,591                  | 19,153,584                                   | 0                              | 16,727,184                 |
| 32   | 32   61    | 0                      | 12,365,105       | 26,831,983          | 0                | 483,815                 | 9,571,125    | 5.25%             | 128,211                        | 0                                        | 355,604            | 0                          | 17,260,858                 | 2,555,131                  | 19,815,989                                   | 0                              | 17,389,589                 |
| 33   | 33   62    | 0                      | 13,124,405       | 27,691,302          | 0                | 502,844                 | 9,940,451    | 5.25%             | 133,158                        | 0                                        | 369,326            | 0                          | 17,750,851                 | 2,744,765                  | 20,495,617                                   | 0                              | 18,069,217                 |
| 34   | 34   63    | 0                      | 13,921,733       | 28,571,969          | 0                | 521,874                 | 10,324,028   | 5.25%             | 138,297                        | 0                                        | 383,577            | 0                          | 18,247,941                 | 2,945,269                  | 21,193,210                                   | 0                              | 18,766,810                 |
| 35   | 35   64    | 0                      | 14,757,936       | 29,474,489          | 0                | 542,011                 | 10,722,407   | 5.25%             | 143,633                        | 0                                        | 398,378            | 0                          | 18,752,083                 | 3,157,467                  | 21,909,550                                   | 0                              | 19,483,150                 |
| 36   | 36   65    | 0                      | 15,633,891       | 30,399,373          | 0                | 562,926                 | 11,136,157   | 5.25%             | 149,175                        | 0                                        | 413,751            | 0                          | 19,263,216                 | 3,382,275                  | 22,645,491                                   | 0                              | 20,219,091                 |
| 37   | 37   66    | 0                      | 16,550,266       | 31,347,142          | 0                | 584,648                 | 11,565,874   | 5.25%             | 154,932                        | 0                                        | 429,716            | 0                          | 19,781,268                 | 3,620,699                  | 23,401,967                                   | 0                              | 20,975,567                 |
| 38   | 38   67    | 0                      | 17,507,903       | 32,318,315          | 0                | 607,208                 | 12,012,172   | 5.25%             | 160,910                        | 0                                        | 446,298            | 0                          | 20,306,143                 | 3,873,827                  | 24,179,970                                   | 0                              | 21,753,570                 |
| 39   | 39   68    | 0                      | 18,507,723       | 33,313,416          | 0                | 630,639                 | 12,475,692   | 5.25%             | 167,119                        | 0                                        | 463,520            | 0                          | 20,837,724                 | 4,142,822                  | 24,980,547                                   | 0                              | 22,554,147                 |
| 40   | 40   69    | 0                      | 19,550,638       | 34,332,974          | 0                | 654,974                 | 12,957,097   | 5.25%             | 173,568                        | 0                                        | 481,406            | 0                          | 21,375,877                 | 4,428,858                  | 25,804,735                                   | 0                              | 23,378,335                 |
| 41   | 41   70    | 0                      | 20,637,649       | 35,377,523          | 0                | 680,248                 | 13,457,079   | 5.25%             | 180,266                        | 0                                        | 499,982            | 0                          | 21,920,444                 | 4,733,270                  | 26,653,714                                   | 0                              | 24,227,314                 |
| 42   | 42   71    | 0                      | 21,769,781       | 36,447,603          | 0                | 706,497                 | 13,976,355   | 5.25%             | 187,222                        | 0                                        | 519,275            | 0                          | 22,471,249                 | 5,057,438                  | 27,528,687                                   | 0                              | 25,102,287                 |
| 43   | 43   72    | 0                      | 22,948,517       | 37,543,754          | 0                | 733,759                 | 14,515,667   | 5.25%             | 194,446                        | 0                                        | 539,313            | 0                          | 23,028,086                 | 5,402,721                  | 28,430,808                                   | 0                              | 26,004,408                 |
| 44   | 44   73    | 0                      | 24,169,457       | 38,666,400          | 0                | 762,073                 | 15,075,790   | 5.25%             | 201,949                        | 0                                        | 560,123            | 0                          | 23,590,610                 | 5,770,653                  | 29,361,263                                   | 0                              | 26,934,863                 |
| 45   | 45   74    | 0                      | 25,434,186       | 39,815,826          | 0                | 791,479                 | 15,657,527   | 5.25%             | 209,742                        | 0                                        | 581,737            | 0                          | 24,158,299                 | 6,159,671                  | 30,317,970                                   | 0                              | 27,891,570                 |
| 46   | 46   75    | 0                      | 26,750,211       | 40,992,466          | 0                | 822,020                 | 16,261,712   | 5.25%             | 217,835                        | 0                                        | 604,185            | 0                          | 24,730,753                 | 6,597,358                  | 31,281,111                                   | 0                              | 28,701,711                 |
| 47   | 47   76    | 0                      | 28,120,004       | 42,196,911          | 0                | 853,740                 | 16,889,211   | 5.25%             | 226,241                        | 0                                        | 627,499            | 0                          | 25,307,704                 | 6,644,216                  | 31,951,919                                   | 0                              | 29,525,519                 |
| 48   | 48   77    | 0                      | 29,546,324       | 43,429,792          | 0                | 886,684                 | 17,540,924   | 5.25%             | 234,971                        | 0                                        | 651,712            | 0                          | 25,888,868                 | 6,900,599                  | 32,789,467                                   | 0                              | 30,363,067                 |
| 49   | 49   78    | 0                      | 31,032,492       | 44,691,733          | 0                | 920,898                 | 18,217,784   | 5.25%             | 244,038                        | 0                                        | 676,860            | 0                          | 26,473,950                 | 7,166,876                  | 33,640,826                                   | 0                              | 31,214,426                 |
| 50   | 50   79    | 0                      | 32,582,333       | 45,983,405          | 0                | 956,434                 | 18,920,763   | 5.25%             | 253,455                        | 0                                        | 702,979            | 0                          | 27,062,643                 | 7,443,428                  | 34,506,071                                   | 0                              | 32,079,671                 |
| 51   | 51   80    | 0                      | 34,200,559       | 47,305,498          | 0                | 993,340                 | 19,650,868   | 5.25%             | 263,235                        | 0                                        | 730,105            | 0                          | 27,654,631                 | 7,730,651                  | 35,385,282                                   | 0                              | 32,958,882                 |
| 52   | 52   81    | 0                      | 35,892,835       | 48,658,739          | 0                | 1,031,671               | 20,409,145   | 5.25%             | 273,393                        | 0                                        | 758,278            | 0                          | 28,249,593                 | 8,028,958                  | 36,278,551                                   | 0                              | 33,852,151                 |
| 53   | 53   82    | 0                      | 37,664,578       | 50,043,877          | 0                | 1,071,480               | 21,196,683   | 5.25%             | 283,942                        | 0                                        | 787,538            | 0                          | 28,847,194                 | 8,338,775                  | 37,185,969                                   | 0                              | 34,759,569                 |
| 54   | 54   83    | 0                      | 39,504,275       | 51,461,971          | 0                | 1,112,826               | 22,014,610   | 5.25%             | 294,899                        | 0                                        | 817,927            | 0                          | 29,447,361                 | 8,660,548                  | 38,107,908                                   | 0                              | 35,681,508                 |
| 55   | 55   84    | 0                      | 41,397,123       | 52,914,139          | 0                | 1,155,767               | 22,864,099   | 5.25%             | 306,278                        | 0                                        | 849,489            | 0                          | 30,050,040                 | 8,994,737                  | 39,044,777                                   | 0                              | 36,618,377                 |
| 56   | 56   85    | 0                      | 43,339,982       | 54,401,311          | 0                | 1,200,365               | 23,746,368   | 5.25%             | 318,097                        | 0                                        | 882,268            | 0                          | 30,654,944                 | 9,341,821                  | 39,996,765                                   | 0                              | 37,570,365                 |
| 57   | 57   86    | 0                      | 45,329,461       | 55,924,454          | 0                | 1,246,684               | 24,662,681   | 5.25%             | 330,371                        | 0                                        | 916,313            | 0                          | 31,261,773                 | 9,702,299                  | 40,964,072                                   | 0                              | 38,537,672                 |
| 58   | 58         |                        |                  |                     |                  |                         |              |                   |                                |                                          |                    |                            |                            |                            |                                              |                                |                            |